



## Horizon Kinetics Inflation Beneficiaries ETF (INFL)

Full Cycle Investments for Rising Price Levels

4<sup>th</sup> Quarter 2021

## A Novel Investment Approach for Inflation

### AN UNMET NEED

- **Inflation risk** has been building for some time, and has been exacerbated by **recent stimulus**.
- It is important for investors to protect their portfolios, but we believe many **traditional inflation hedges/inflationary investment are suboptimal**.
- There are limited investments which address inflation risk without being a **directional trade** based on CPI<sup>1</sup>.

### OUR APPROACH

- The Fund seeks to invest in the **public equity securities** of profitable businesses which we believe are also **inflation beneficiaries**.
- We consider companies that exhibit **scalable, economically resilient business models**.
- Many provide exposure to hard assets via **capital-light business models**.

### DIFFERENTIATING CHARACTERISTICS

- ✓ The Fund is **NOT** a binary “bet” on inflation.
- ✓ The Fund focuses on businesses with the potential to earn high cash flows under **moderate inflation scenarios**, but markedly higher under certain rising inflationary conditions.
- ✓ This portfolio is intended to **benefit from inflation** (i.e. appreciate) **NOT** just maintain value in an inflationary environment

<sup>1</sup> Consumer Price Index

### ***The level of monetary supply growth has been unprecedented.***

- The U.S. money supply is up about 40% since the end of 2019.<sup>1</sup>
- Federal debt (U.S.), the increase of which is linked to the money printing, is now the highest proportion of GDP that it's ever been.
- The Federal Reserve appears intent on continuing on this path.

### ***There is a developing supply shortage of strategic commodities.***

- The benign inflation environment of the past decades has partly been a function of significantly reduced commodity prices. **That is very unlikely to persist.**
- It is becoming increasingly difficult to produce the raw materials necessary to support global growth at a high standard of living. Fiscal spending is likely to further pressure key commodity markets.

### ***The CPI is not a true measure of inflation.***

- Contrary to general understanding, the CPI does NOT measure the general price level, the experienced price level.
- The composition of the CPI basket changes:
  - Substituting more expensive goods (beef) with cheaper alternatives (chicken) doesn't mean that a family didn't pay for more food.
- The Quality Adjustment:
  - CPI adjusts to account for improvements in quality by simply removing one product (tube TV) and inserting the improved version (plasma TV) without changing the price of the index. Even though people pay more for new televisions than they used to. But, the CPI does record when the price of the plasma TV drops.

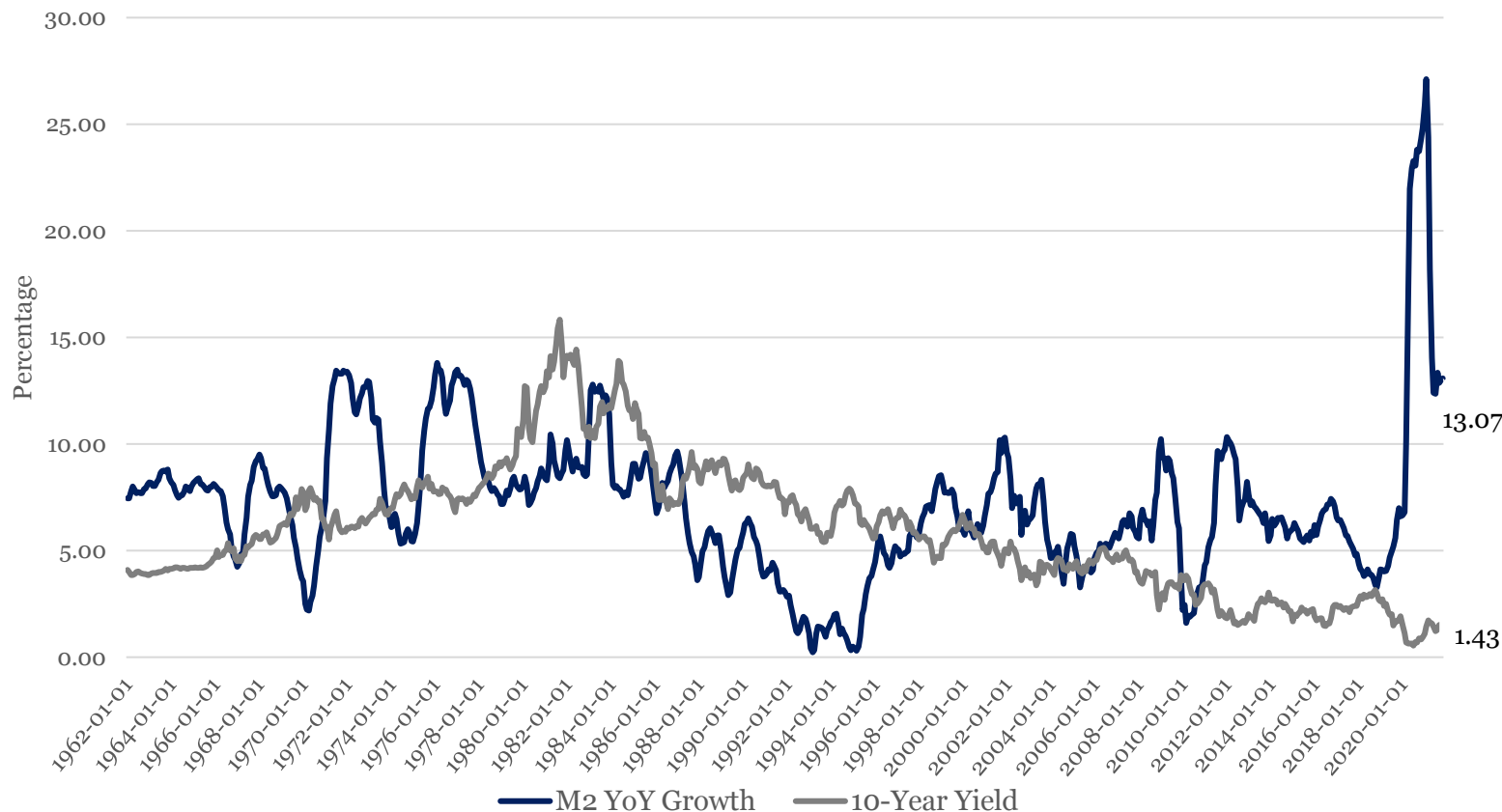
<sup>1</sup> St. Louis Federal Reserve

# Unprecedented Money Supply Growth

## M2<sup>1</sup> Growth

*13% of all the dollars ever created in the history of the United States of America were created in the past twelve months.*

YoY Money Supply Growth and Treasury Yields



The current spread of **11.6%** is over 3% greater than the records in previous cycles (1971, 2012)

Source: St. Louis Federal Reserve

<sup>1</sup>M2 is a measure of the money supply that includes cash, checking deposits, and easily convertible near money that is watched as an indicator of money supply and future inflation, and as a target of central bank monetary policy.

<sup>2</sup>YoY: Year Over Year

# Rising Debts Funding Rising Deficits

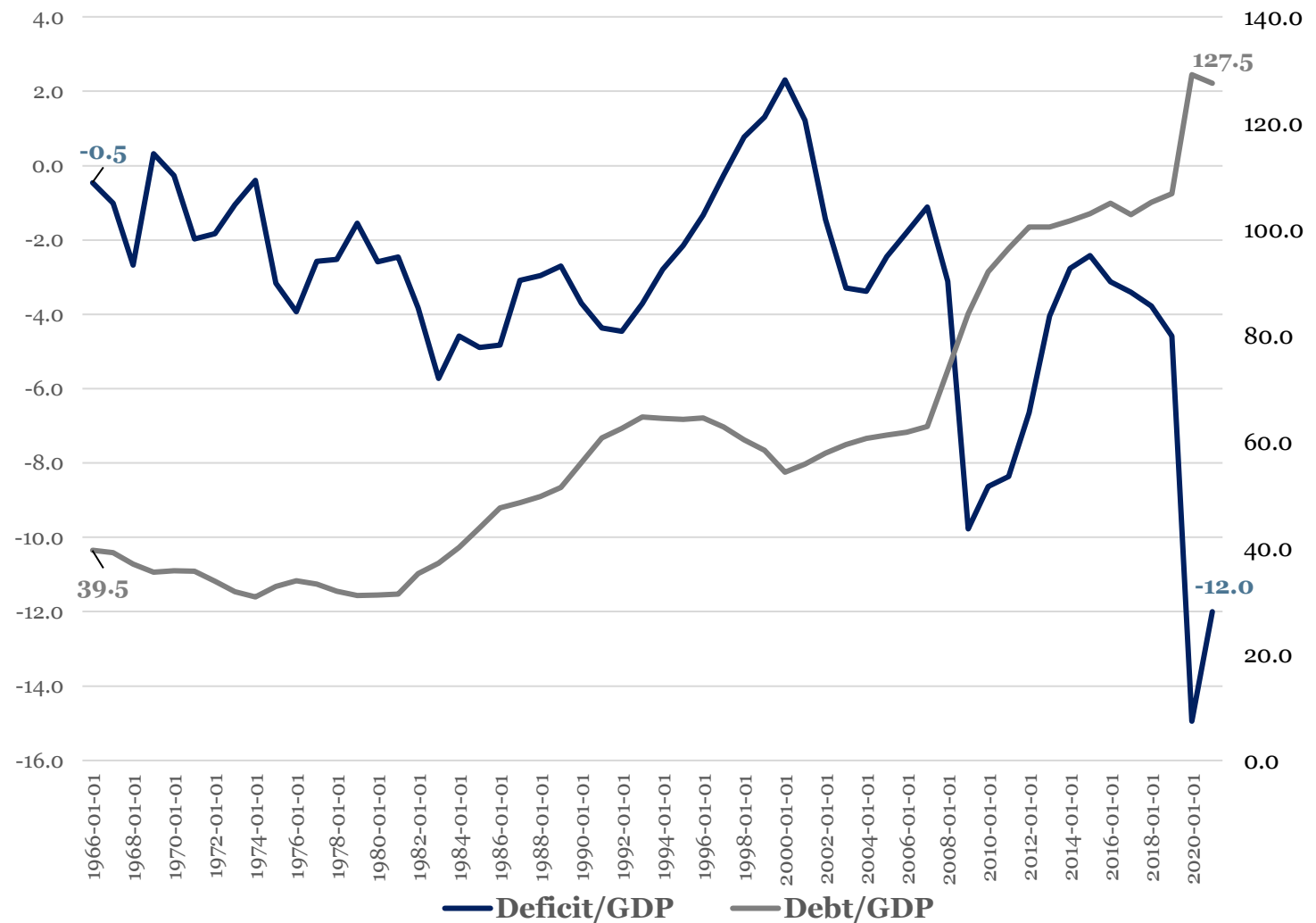
## U.S. Federal Debt



*If the economy cannot expand sufficiently to allow the debt/GDP ratio to gradually subside to a sustainable level, the government's only politically realistic option – a timeworn solution – is to actually continue printing more money.*

***The size of the debt and its rate of increase are now beyond the ability of the economy to outgrow.***

U.S. Federal Debt, 1960- April 2021

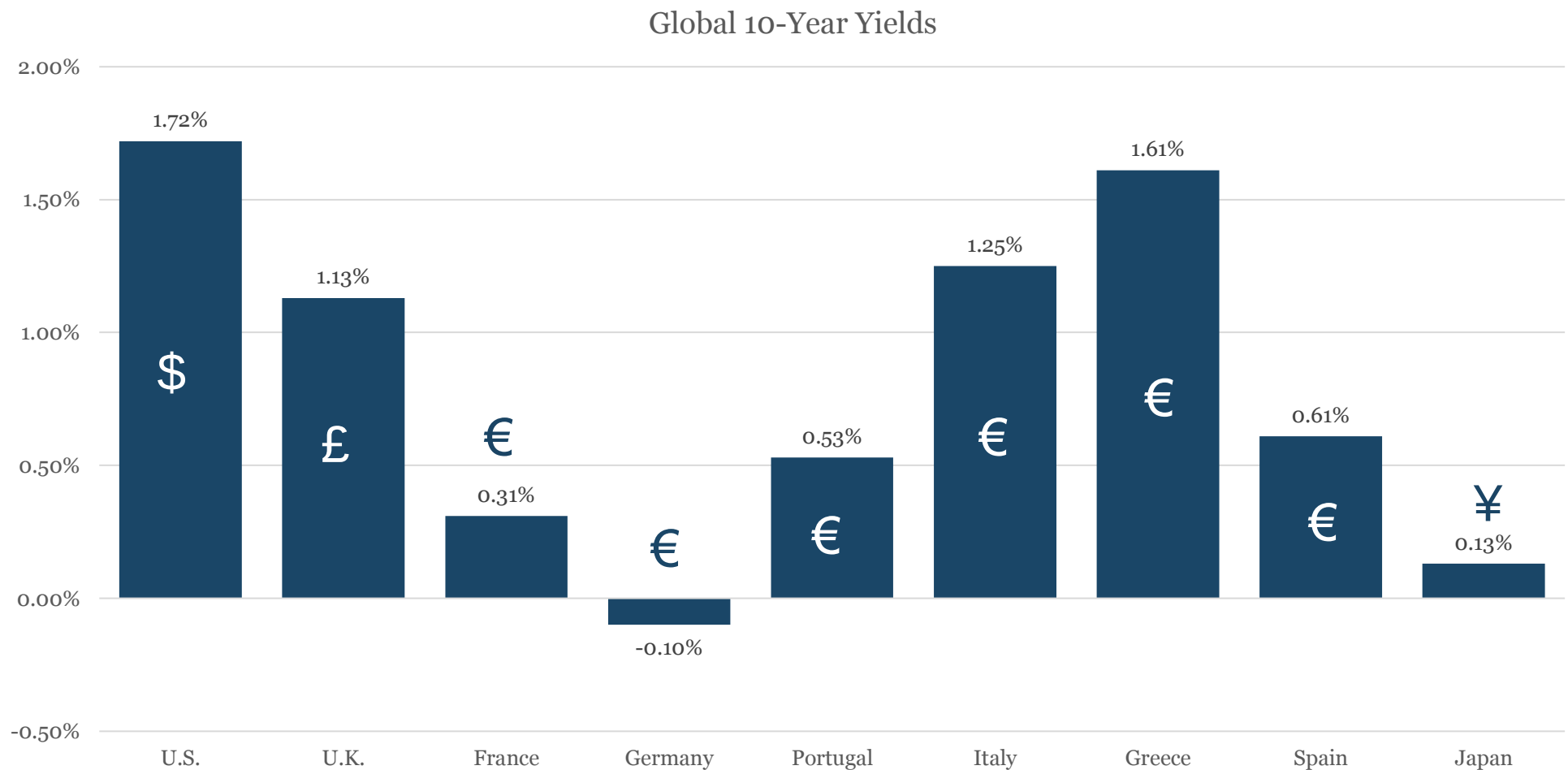


Source: St. Louis Federal Reserve, Annual Data with an update for Q2 2021

# Risk-Free, Return-Free Bonds

## Nominal Yields

*Cash and bonds are extraordinarily overvalued, at near-zero yields that are exceeded by the current inflation rate; stocks, by some measures, are overvalued beyond historical precedent.*



Source: <https://www.bloomberg.com/markets/rates-bonds>, as of 01/24/2022

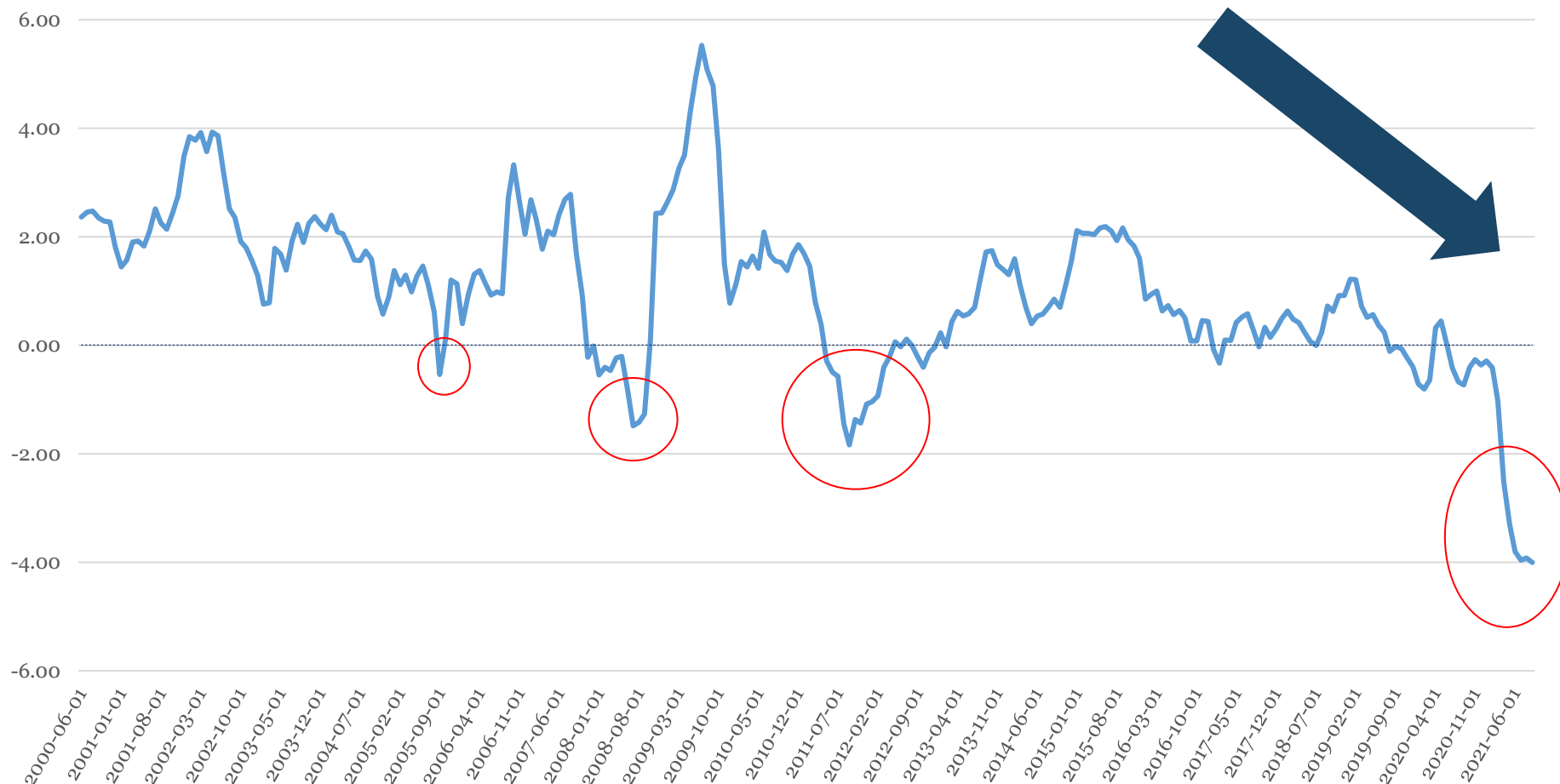
# How Did We Get Here?

## Real Yields



*We've actually briefly been in negative territory a couple of times over the past 20 years. This cannot last indefinitely. Buyers will just not willingly hand over their money for ten years with a negative real rate of return*

Real Yields - 10Y Treasury (%)



Source: St. Louis Federal Reserve. U.S. 10-Year Treasury Yield minus CPI growth Y/Y.

# Disinflation in Commodities?

## Commodity Complex

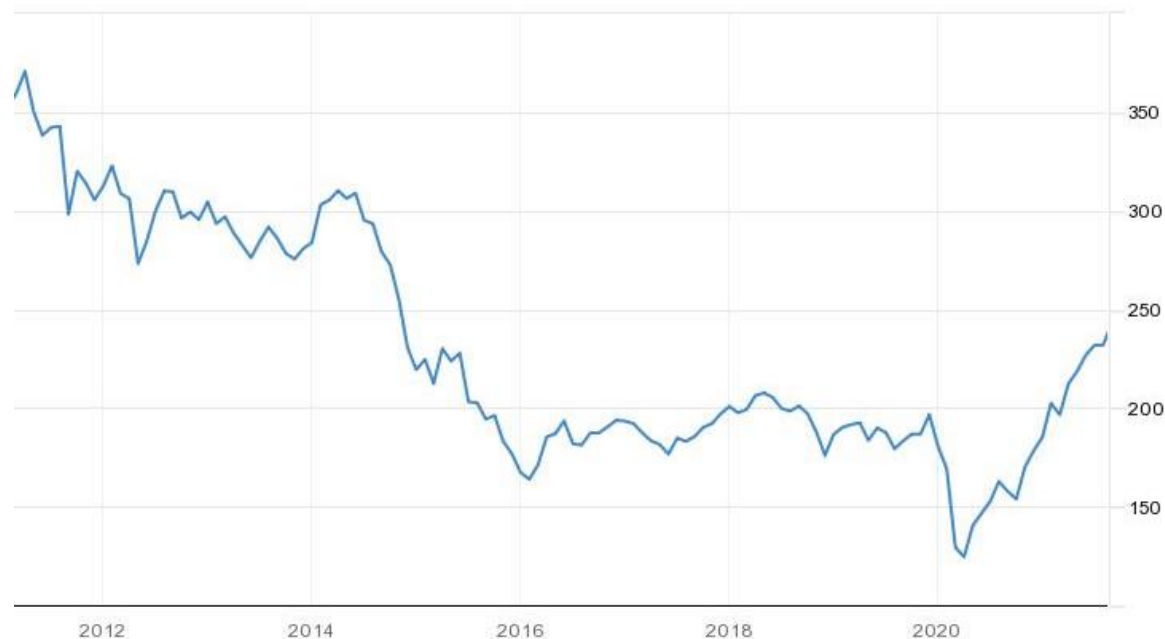


**1999-2008:** CRB Index more than quadrupled: it started under 100 and reached a 2008 peak of 450. That was a 9-year commodity inflation rate of about 18%/year.

**Past 10+ Years:** The benign inflation environment was partly a function of commodity input costs in the economy dropping 56% since 2008, about 6%/year. And it was a boon, in the form of expanding profit margins, to consumer goods companies. ***That's not happening again.***

**Full year 2021:** the CRB Index was up 39%.

CRB Index – April 2018 to August 2021



source: tradingeconomics.com

### CRB Commodity Index

|                   |      |
|-------------------|------|
| Energy            | 39%  |
| Agriculture       | 41%  |
| Industrial metals | 13%  |
| Precious metals   | 7%   |
|                   | 100% |

The past decade of declining commodity prices has led to limited capital investment spanning energy, industrial metals, precious metals and agriculture markets. These markets require very **long supply investment cycles** to meet rising demand.



# Investments for Inflation

# Traditional Inflation Hedges

## The Limitations of TIPS<sup>1</sup>

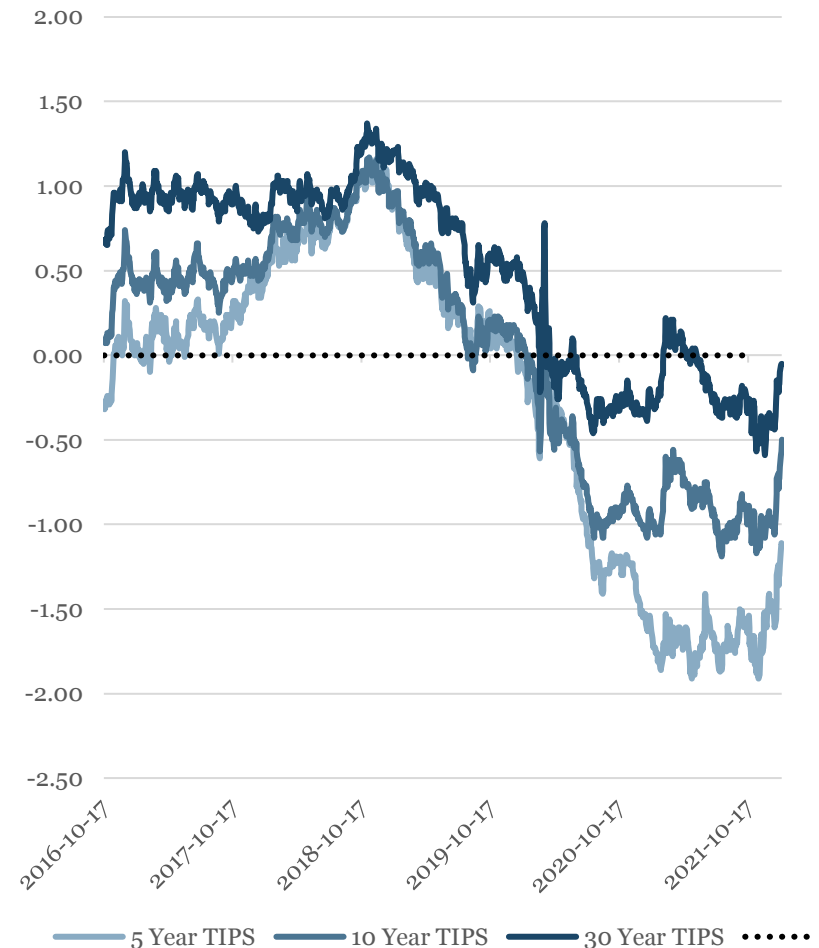
**TIPS** pay semi-annual interest based on a fixed coupon; however, the principal amount is adjusted to reflect changes in the consumer price index (CPI). **When inflation rises, coupon payments also rise as a function of the higher adjusted principal value.**

In most market conditions, investors are willing to pay a premium for such inflation protection, which translates into a lower coupon payment on TIPS as compared to a standard U.S. Treasury of similar maturity. As such, the TIPS bond pricing is always relative to the reference risk-free rate offered on the 10-Year Treasury. **Inflation expectations and long-term interest rates are highly correlated; outsized movements in interest rates relative to inflation can hamper returns on TIPS bonds.**

**The TIPS price will only increase in value in the interim should inflation expectations rise relative to the 10-Year yield.**

Returns are ultimately limited by the “gross” yield, or yield with zero CPI at the purchase relative to the benchmark U.S. Treasury yield (i.e. inflation “break-even.” 5, 10, 30 Year TIPS have all had **negative** gross yields.

TIPS Gross Yields (%)



Source: St. Louis Federal Reserve

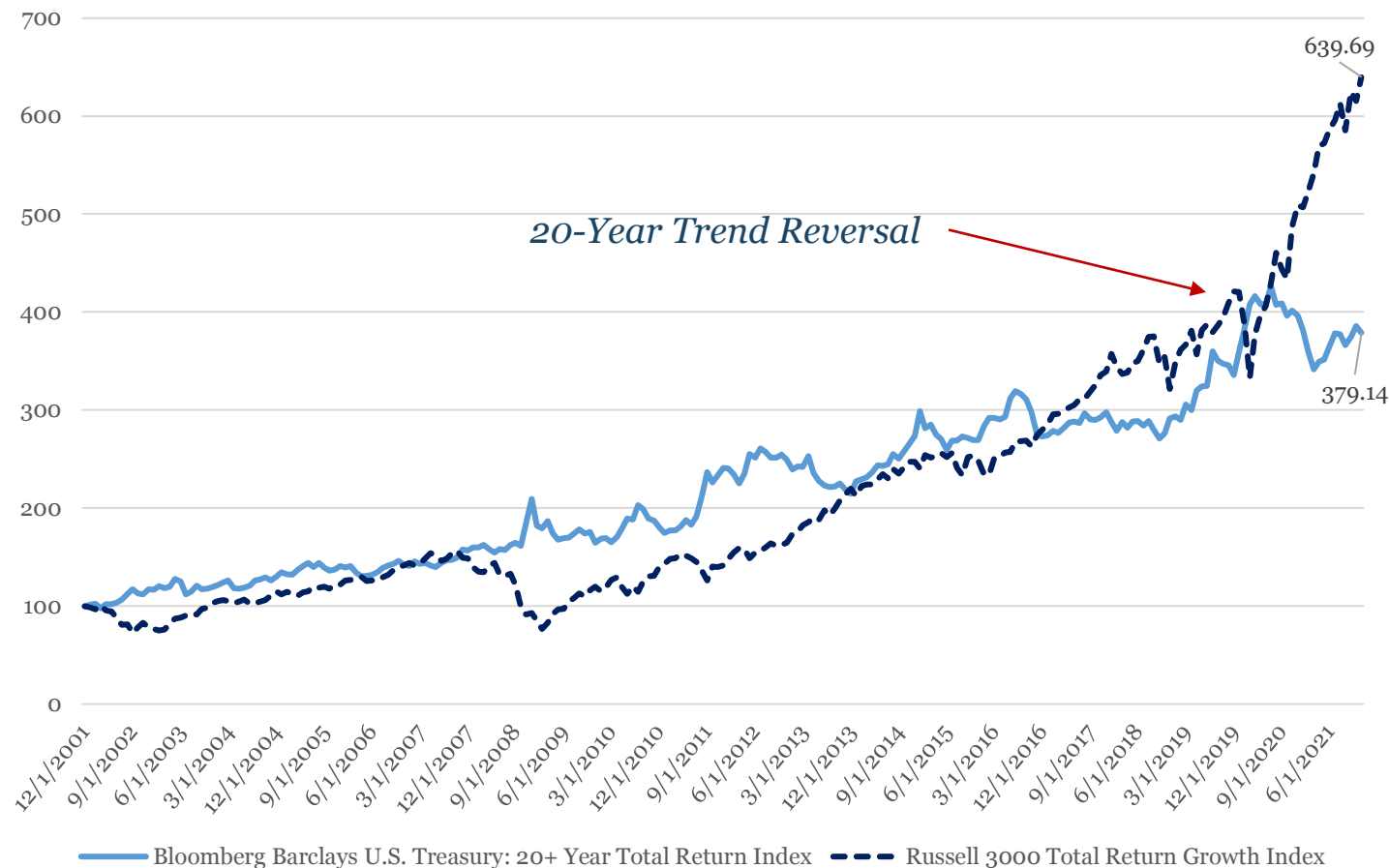
<sup>1</sup> TIPS are Treasury Inflation-Protected Securities. The principal increases with inflation or decreases with deflation, based on movements in the consumer price index.

# Performance During Disinflation

## Interest Rate Impact on High P/E Stocks



### Growth Stocks and Long-Term Rates



Borrowing a concept from fixed income investing, Growth stocks have almost infinite duration (i.e. very high P/E levels). Hence, typically have a negative correlation with interest rates.

This trend reversed in mid-2020: long-term bonds fell in value (i.e. rates rose), yet growth stocks rose sharply.

This is very unlikely to persist indefinitely: bonds must rise (rates falls) or equities must fall – unless strong growth can be sustained with low rates – and **no inflation**.

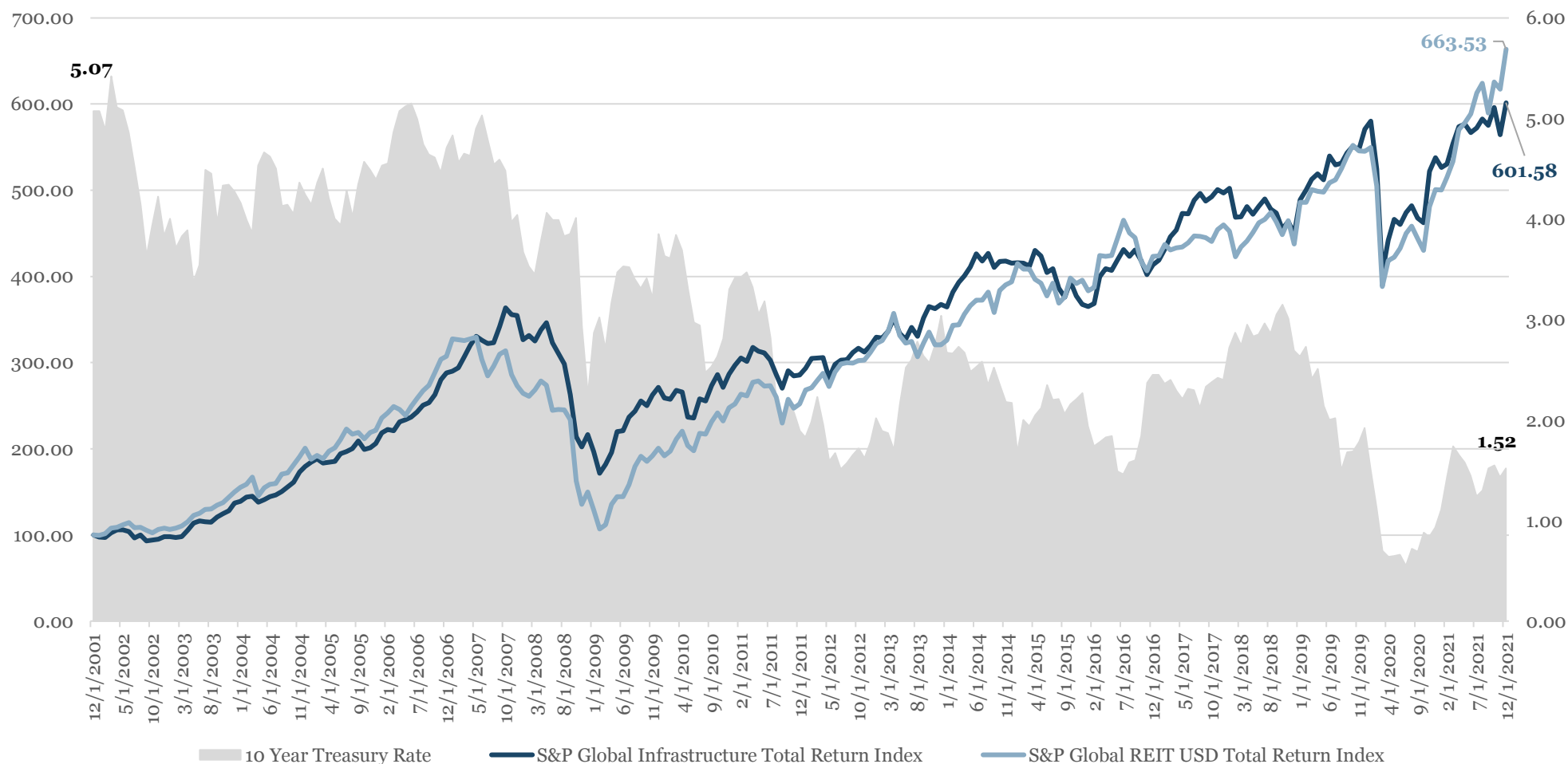
Source: Bloomberg, Normalized to a 100 base.  
Past performance is no guarantee of future results. Indexes are unmanaged and it is not possible to invest in them directly.  
P/E: Price to Earnings ratio

# Real Assets: CRE<sup>1</sup> and Global Listed Infrastructure



## Rate Sensitivity

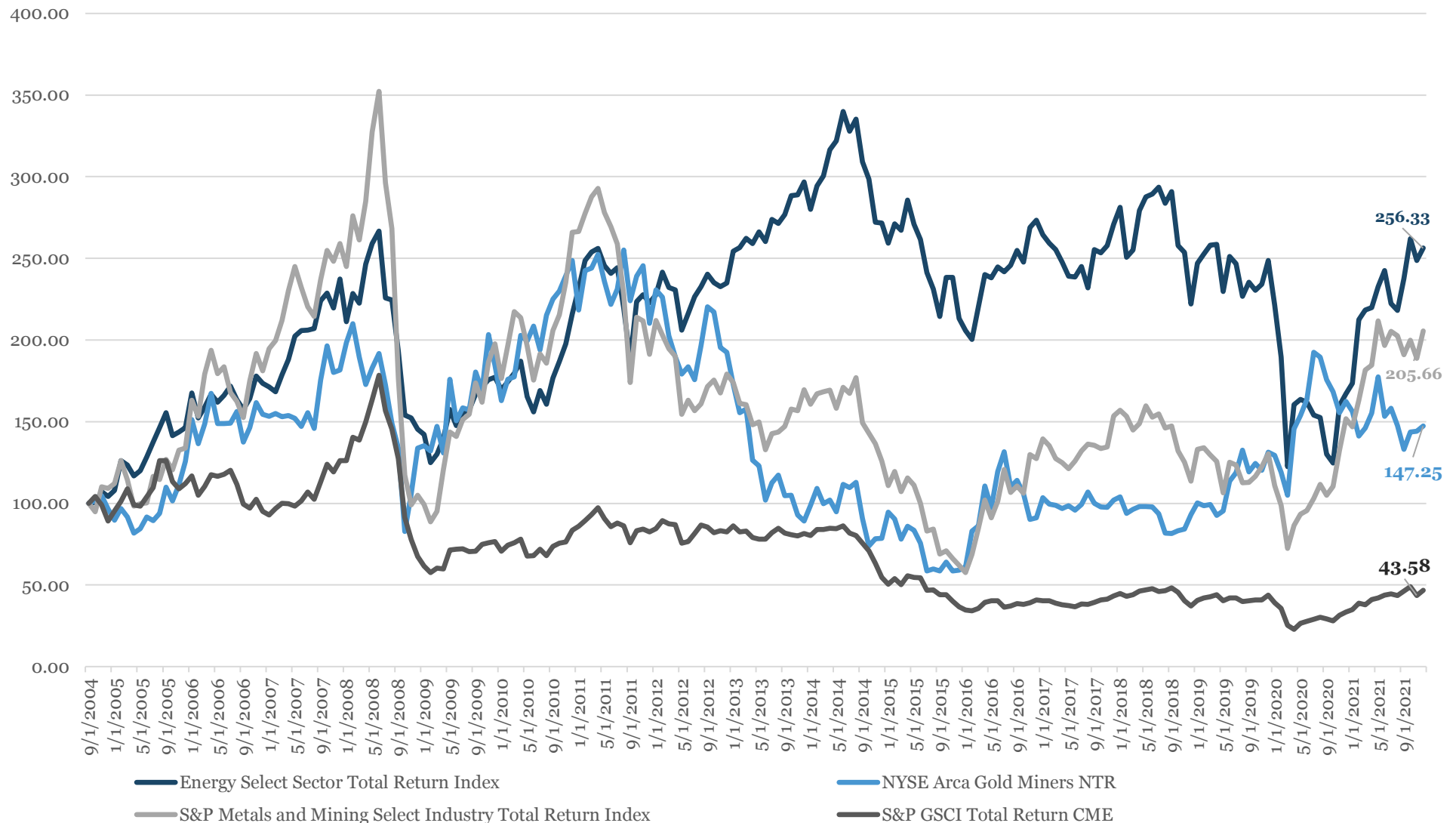
### Real Estate, Infrastructure, and Rates



Source: Bloomberg, St. Louis Fed, Normalized to a 100 base except for the 10 Year Treasury Rate  
Past performance is no guarantee of future results. Indexes are unmanaged and it is not possible to invest in them directly.  
<sup>1</sup> Commercial Real Estate

# Commodity Producers

## Timing the Cycle



Source: Bloomberg, Normalized to a 100 base.

Past performance is no guarantee of future results. Indexes are unmanaged and it is not possible to invest in them directly.

# Hard Asset, Capital Light Companies

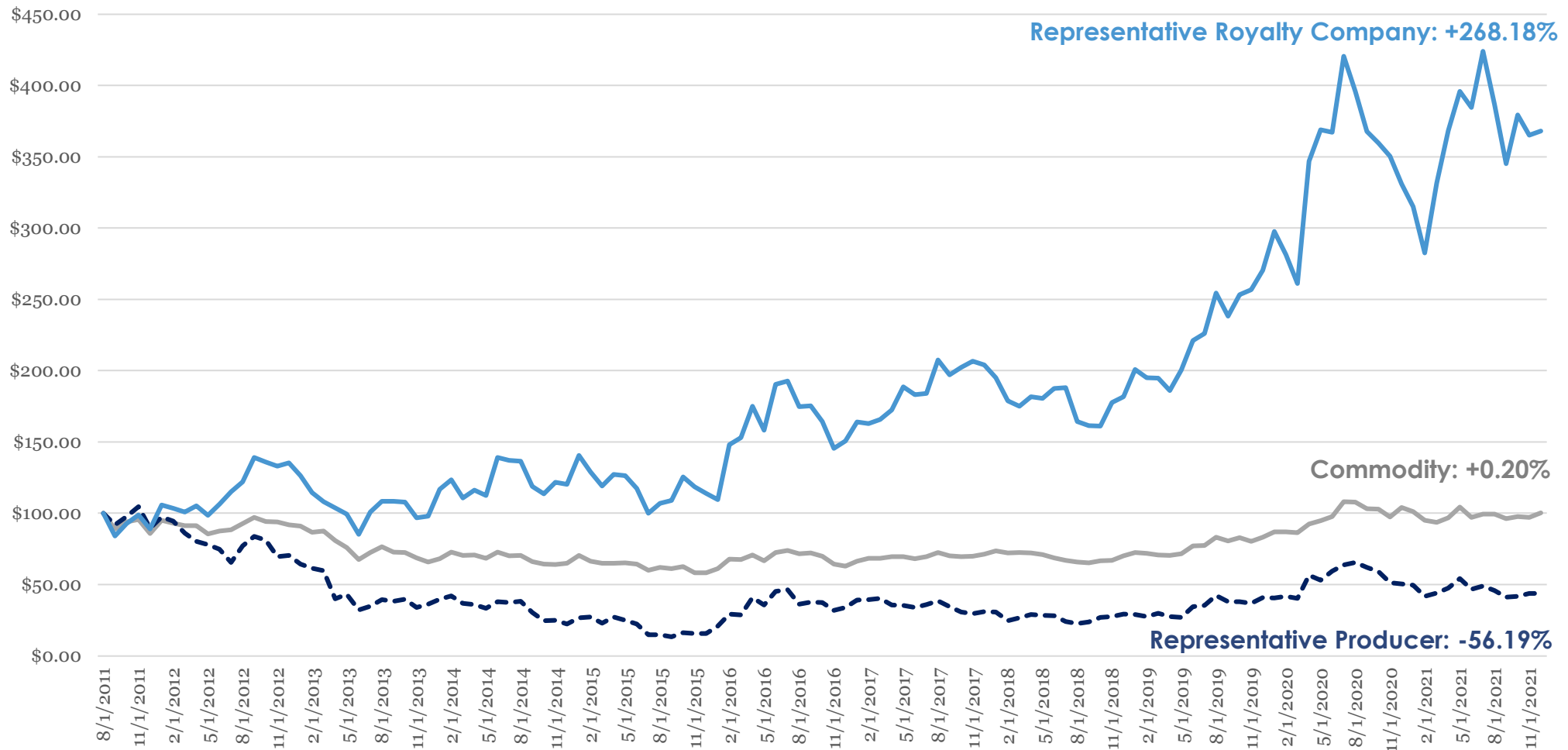
## Full Cycle Inflation Investments

# Full-Cycle Royalty Returns

## Gold



### Gold v. Gold Producer v. Royalty Company



### Gold – Previous Cycle Peak Aug 2011

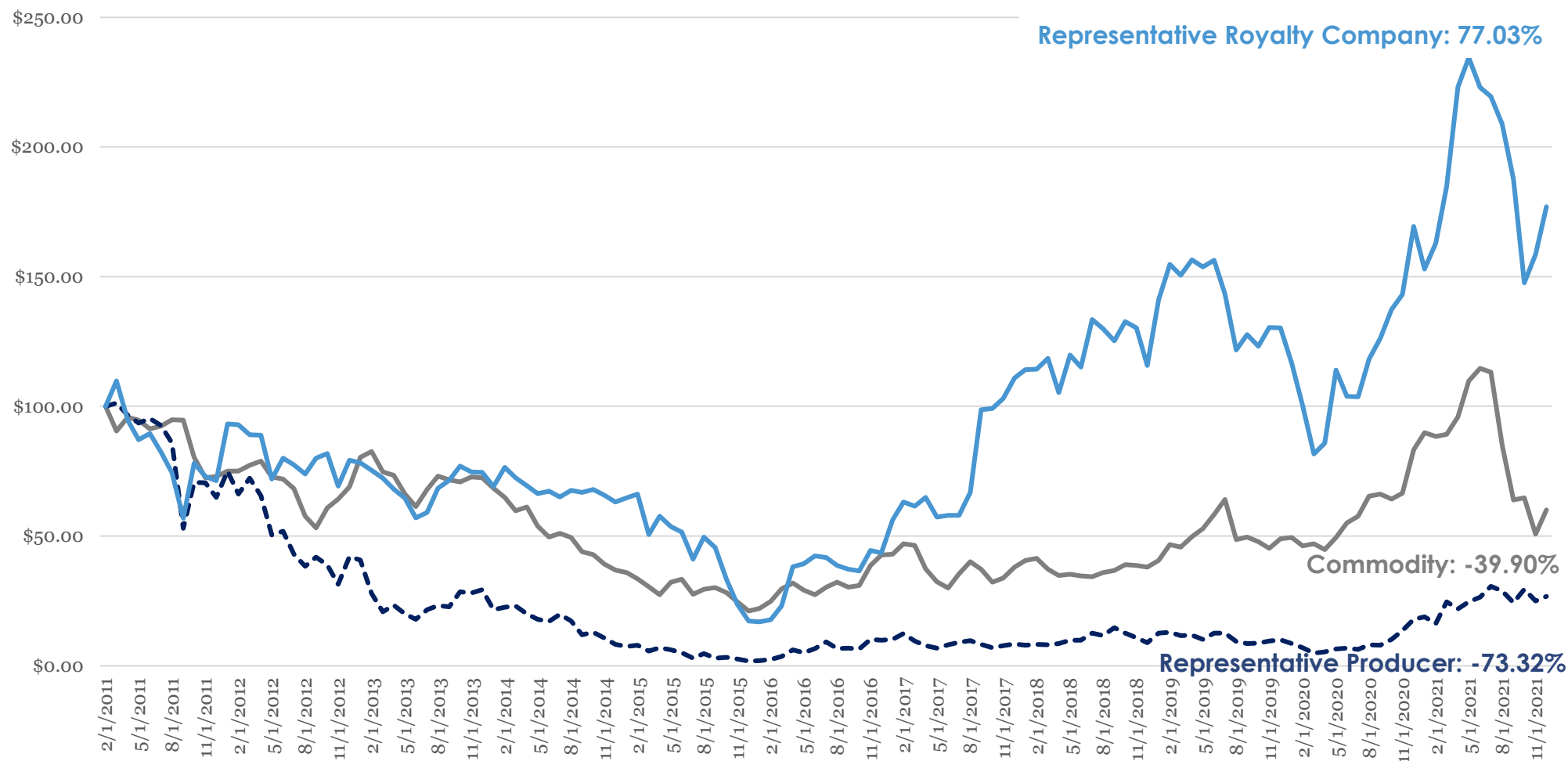
Source: Bloomberg, Normalized to a 100 base

# Full-Cycle Royalty Returns

## Iron Ore



### Iron v. Iron Producer v. Royalty Company



### Iron - Previous Cycle Peak Feb 2011

Source: Bloomberg, Normalized to a 100 base



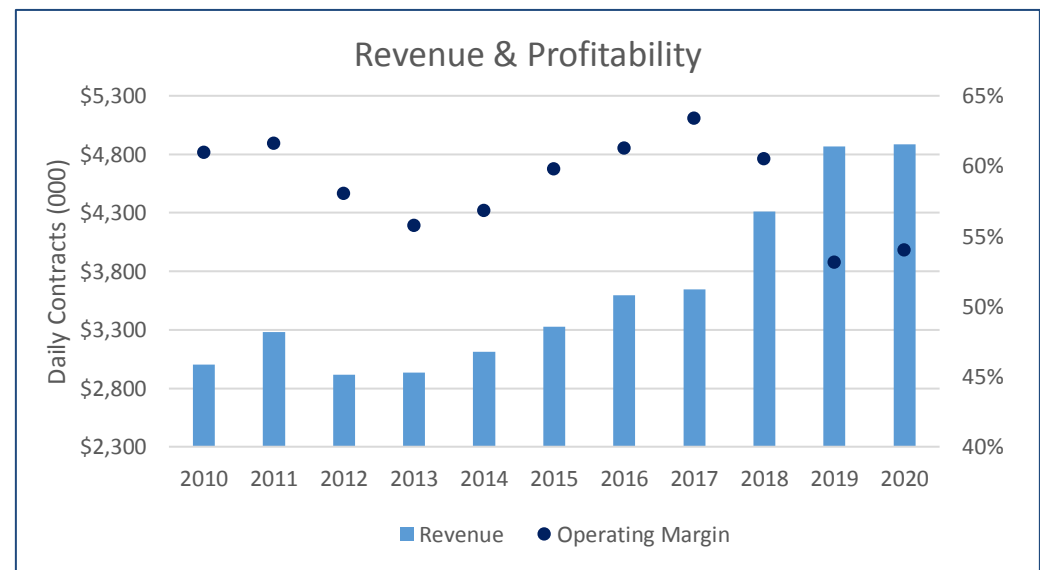
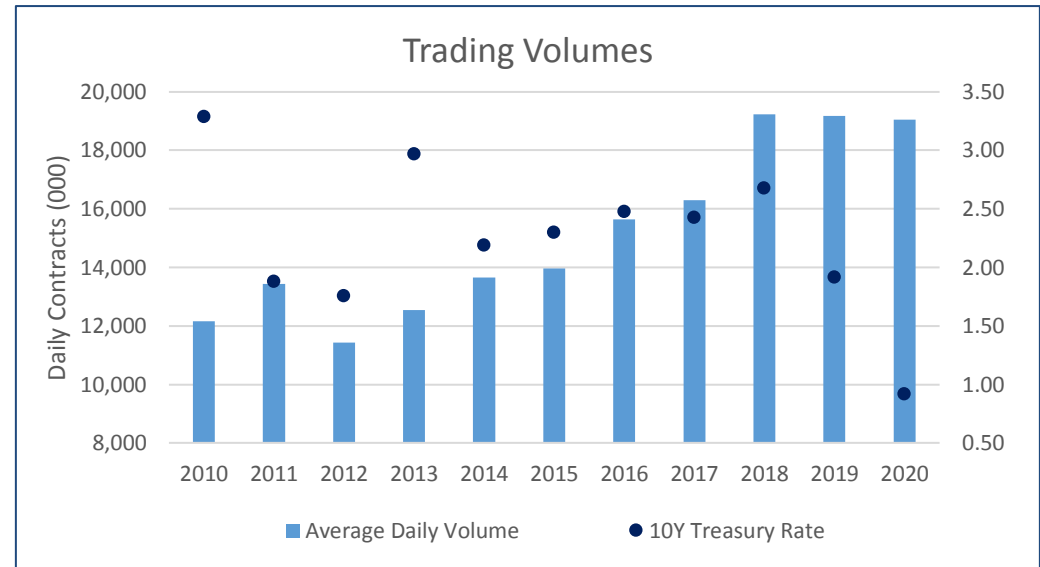
# Global Securities Exchanges

## Leading Derivatives Exchange



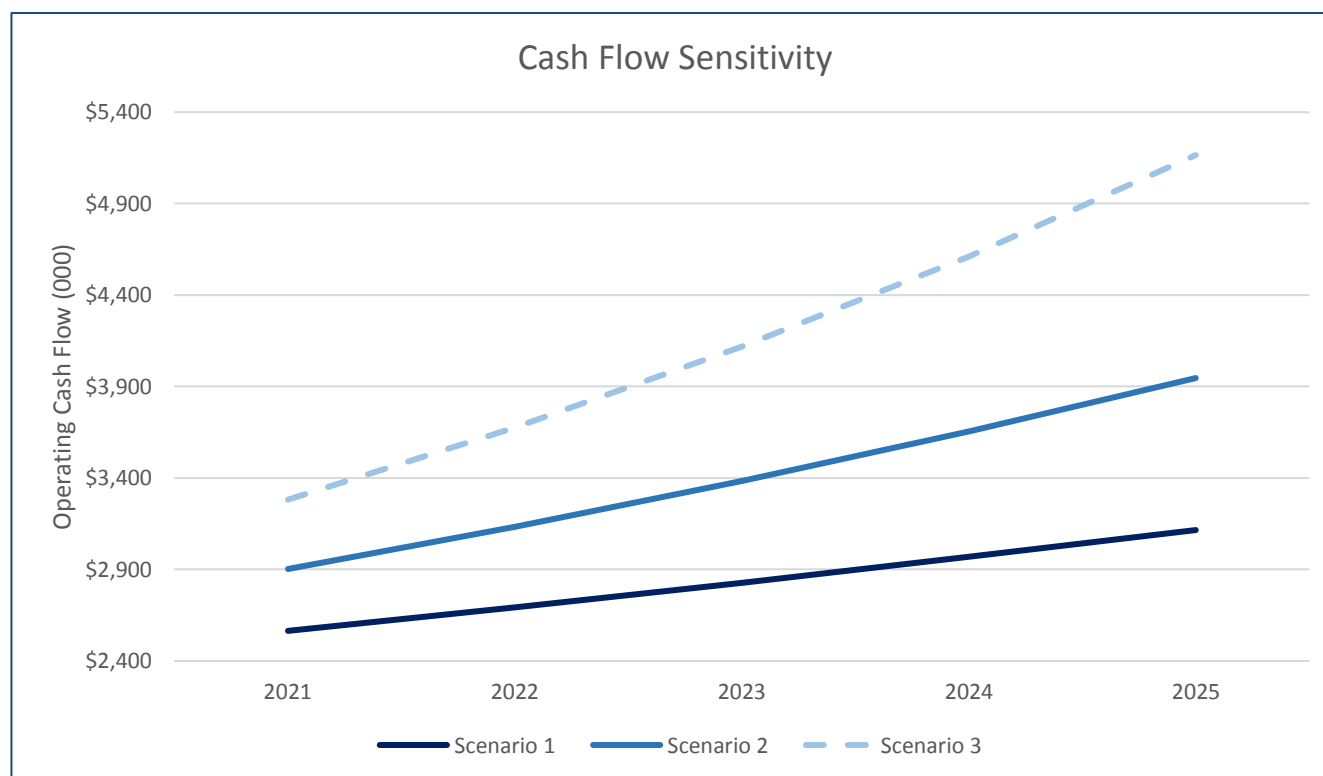
Exchange A is the world's leading and most diverse derivatives exchange. The company generates revenues related to transactions and clearing derivative contracts tied to interest rates, equity indexes, foreign exchange (FX), energy, agricultural commodities and metals. Trading and clearing revenue is supplemented by market data and optimization revenues.

Trading volumes (derivatives) are heavily affected by uncertainty and volatility of the underlying asset class. The past decade has experienced prolonged periods of low volatility and low interest rates, largely due to central bank policies. Despite the U.S. 10Y Treasury yield falling from nearly 3.3% in 2010, to less than 1% in late 2020, volume and revenue have grown 56% and 62% respectively, while maintaining operating margins above 50% throughout.



# Global Securities Exchanges

## Exchange A



|             | Scenario Assumptions |                  |        |
|-------------|----------------------|------------------|--------|
|             | CPI                  | Cash Flow Margin | Growth |
| Scenario 1: | 2%                   | 50%              | 5%     |
| Scenario 2: | 3%                   | 55%              | 8%     |
| Scenario 3: | 4%                   | 60%              | 12%    |

The revenue mix is heavily tied to rate sensitive products including rates (21%), FX (3%), Energy (14%), Agriculture (9%) and Metals (5%). Assuming modest forward inflation, trailing product volume growth, and depressed profitability (scenario 1), the company will generate over \$14 billion in cash flow over the next five years.

Cash flow increases to \$17 billion (scenario 2) and \$21 billion (scenario 3) with higher volume driven by consumer price inflation and returning to previous profitability (60% margins) as the business scales, although this level of profitability was exceeded as recently as 2017; hence under scenario 3 the operating leverage potential is higher yet.

Source: Bloomberg, Company Reports  
The scenarios shown are hypothetical and do not represent or predict the performance of any investments.  
Cash flow margin is a measure of cash generated as a percentage of a company's sales.

## Hard Asset, Capital Light Approach

***We define a company which earns revenues primarily related to a tangible, finite asset base as being a real asset company.***

***A hard asset company shares the similar tangible asset exposure, but through a capital light business model.***

***The capital light business model requires less working capital and debt, while earning higher returns on capital. This facilitates higher compounding of capital over full business cycles.***

The revenues of a capital light, hard asset business derive directly from the underlying asset, with no intermediary operating activity or expense required.

If the price of the resource rises, that's an immediate increase in revenues to the hard asset company. Importantly, almost all of that revenue becomes an increase in pre-tax profits, because there is almost no incremental operating expense. That's what makes them direct inflation beneficiaries.

There are not that many hard asset, capital light companies in the world, and for the most part, you will not find them to be well represented in any indexes.

***We believe they improve the business quality of a portfolio and reduce the cyclicity – it's not a 'bet' on inflation.***

Direct Beneficiaries

Asset-light companies with direct exposure inflationary asset(s)

Indirect Beneficiaries

Asset-light companies with indirect exposure to inflationary asset(s)

Opportunistic Beneficiaries

Companies with unique direct exposure to inflationary asset(s), but with some fixed overhead

# Full Cycle Investment That Benefits From Inflation



## Capital Light Business Models

### Transaction Facilitators

These companies earn fees on facilitating transactions, and achieve operating leverage with volume growth, as incremental costs are low. Examples include **financial exchanges**, which stand to benefit from trading volume if higher prices drive higher volumes from speculators and hedgers. Similarly **brokerage firms**, have similar units economics matching buyers and sellers, in industries including insurance, commercial real estate and shipping.

### Royalty & Streaming Companies

Royalty/streaming business models can be simplified as earning revenue streams based on the exploration and production of 3<sup>rd</sup> party operators. These businesses have direct exposure to rising commodity prices in **energy, base metal, and precious metal** markets, yet with high operating margins and long reserve lives.

### Data & Research Companies

Data/Research companies provide mission critical information and research services to various inflationary end markets operating in the **health care, insurance, energy, metals & mining, automotive and industrial** industries. The proprietary database and research infrastructure established by these companies facilitates high volumes growth at minimal variable expense as pricing pressures increase in the end markets.

### Timber

Timber companies have extensive asset bases in the form of timberlands, however the basic harvesting and milling is relatively low cost, as compared to the sale of the finished product. This generates high free cash flow conversion even at modest commodity prices, but measured higher margins during strong pricing cycles.

### Agriculture

Agricultural demand is growing with global GDP per capita and higher global standards of living, however many companies within the food supply chain are not positioned to benefit from rising prices. **Grain/seed processing** companies are a unique example of scalable “throughput” businesses which can grow profit with pricing.

### Real Estate and Infrastructure Managers

Real Estate and Infrastructure are recognized as having pricing power and benefitting from rising inflation/price levels. However these assets are capital intensive, and command high valuation multiples which are very sensitive to interest rates. Companies with manage these assets, largely with other investors capital, can earn high and scaling margins throughout a full-cycle, without committing high amounts of capital, or taking undue interest rate exposure.

# INFL Overview



## An Active Approach to Inflation Risk

### FUND DESCRIPTIONS

#### Investment Objective:

The Horizon Kinetics Inflation Beneficiaries ETF (the "Fund") seeks long-term growth of capital in real (inflation-adjusted) terms.

#### Strategy:

An actively-managed ETF that seeks to provide positive real investment returns in an inflationary macroeconomic environment. The Fund seeks to achieve this by investing in the public equity securities of profitable businesses which we believe are also inflation beneficiaries with scalable, economically resilient business models.

#### Portfolio Managers:

James Davolos – 15 years of investment experience

Peter Doyle – 35 years of investment experience

Steven Bregman – 35 years of investment experience

### FUND DETAILS

|                         |                             |
|-------------------------|-----------------------------|
| <b>Ticker/CUSIP</b>     | INFL/53656F623              |
| <b>Inception Date</b>   | January 12, 2021            |
| <b>Expense Ratio</b>    | 0.85%                       |
| <b>Total Net Assets</b> | \$ 868,509,936              |
| <b>Index Tracked</b>    | None (Active ETF)           |
| <b>Issuer</b>           | Foreside Fund Services, LLC |
| <b>Stock Exchange</b>   | NYSE Arca                   |

*The performance data quoted represents past performance. Past performance does not guarantee future results. The investment return and principal value of an investment will fluctuate so that an investor's shares, when sold or redeemed, may be worth more or less than their original cost and current performance may be lower or higher than the performance quoted. Performance current to the most recent month-end can be obtained by calling (800) 617-0004.*

Short term performance, in particular, is not a good indication of the fund's future performance, and an investment should not be made based solely on returns. Returns beyond 1 year are annualized. A fund's NAV is the sum of all its assets less any liabilities, divided by the number of shares outstanding. The market price is the most recent price at which the fund was traded.

### PERFORMANCE HISTORY

| As of 12/31/2021       | 1 Month | Since Inception |
|------------------------|---------|-----------------|
| Total Return % (Price) | 5.02    | 26.03           |
| Total Return % (NAV)   | 5.08    | 26.05           |
| CPI Urban <sup>1</sup> | 0.47    | 6.85            |
| S&P GSCI               | 7.59    | 33.74           |
| MSCI ACWI All Cap      | 3.96    | 18.36           |

<sup>1</sup> Since Inception All Urban Consumers (CPI Urban) is calculated from January 31, 2021.

### TOP 10 HOLDINGS

| Total Top 10 (%)                             | 44.25 |
|----------------------------------------------|-------|
| Charles River Laboratories International Inc | 5.72  |
| ASX Ltd                                      | 4.82  |
| Intercontinental Exchange Inc                | 4.71  |
| Texas Pacific Land Corp                      | 4.66  |
| PrairieSky Royalty Ltd                       | 4.33  |
| Franco-Nevada Corp                           | 4.20  |
| Archer-Daniels Midland Co                    | 4.12  |
| Deutsche Boerse AG                           | 4.09  |
| West Fraser Timber Co. Ltd                   | 3.82  |
| Wheaton Precious Metals Corp.                | 3.79  |

*Holdings are subject to change without notice*

# Horizon Kinetics, LLC

Investing Differently Since 1994

# Firm Overview

## At a Glance



### Horizon Kinetics LLC

- Independent, employee owned, serving clients since 1994.
- \$6.9 billion in firm-wide assets under management<sup>1</sup>.
- 73 employees.
- Offices in New York City, White Plains, NY and Summit, NJ.

### Stable, tenured investment team

- Co-Founders investing together for over 30 years.
- 18 Investment Professionals with an average tenure of 17 years with the firm and 29 years in the industry.

### Dedicated Culture

- Committed exclusively to investment research and portfolio management across the capital structure.
- Independent publisher of research for institutional investment community since 1995.
- Adhering to a research-intensive, time-tested fundamental investment philosophy.
- Institutional quality client service and operations infrastructure.

### Investment Approach

- Independent Thinking
  - Primary source data driven process.
  - Research analysts culturally guided to overcome confirmation biases and data availability errors.
- Opportunity
  - Seek above market returns with reduced chances of loss by capturing high discount rates associated with the “Equity Yield Curve.”
  - Earn returns of underlying fundamental business and potential narrowing of discount rate.
- Focus
  - Research team and process organized around attributes associated with long-term excess returns.
  - Seek to avoid the permanent loss of capital.
- Differentiated
  - Philosophy and process lead us to explore lesser researched and less frequently trafficked investments.
  - High active share<sup>2</sup> by design.
- Discipline
  - Portfolio Managers and Research Analysts must write logical, clear and understandable investment theses that withstand internal and external scrutiny.
- Patience
  - Capturing long-term excess returns requires commitment.

<sup>1</sup> As of December 31, 2021

<sup>2</sup> Active share is a measure of the percentage of holdings in a portfolio that differ from a benchmark index. It is calculated by taking the sum of the differences of the weight of each holding in the portfolio and the weight of each holding in the benchmark index and dividing by two. Active share is measured against the strategy's primary benchmark.

# Firm Overview



## Strategy and Client Type Overview

**Firmwide Assets Under Management<sup>1</sup>**

**\$6.9 B**

**Client Assets by Type<sup>1</sup>**

**Separately Managed Accounts<sup>2</sup>**

**\$3.4 B**

- Equities
- High-Yield
- Liquid Alternatives/ Low Volatility
- Opportunistic Investments, i.e. Distressed Debt

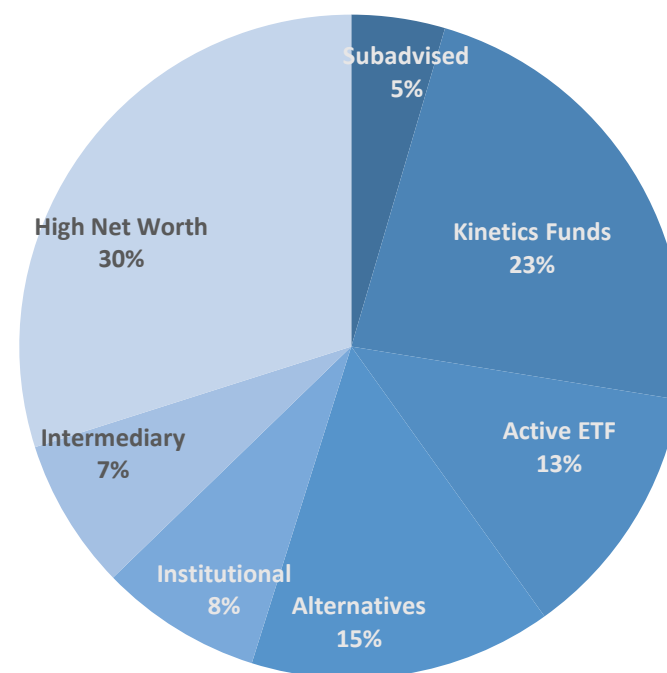
**Kinetics Mutual Funds and Active ETF<sup>3</sup>**

**\$2.5 B**

- Broad Markets
- Specialty Markets
- Income-Related
- Inflation Beneficiaries

**Alternative Investments\***

**\$1.0 B**



\*Alternative Investment values are based on previous month end fund administrator values. Additional information available upon request for qualified investors.

<sup>1</sup>AUM and client type as of 12/31/2021

<sup>2</sup>Includes assets in customized portfolios, other strategies developed for intermediaries, and sub-advised assets.

<sup>3</sup>Kinetics Mutual Funds, Inc. ("Kinetics Funds") are distributed by Kinetics Funds Distributor LLC ("KFD"), an affiliate of Horizon Kinetics LLC. KFD is not affiliated with the Kinetics Funds.

<sup>4</sup>Includes individual client accounts through intermediaries. The Horizon Kinetics Inflation Beneficiaries ETF (INFL) is distributed by Foreside Fund Services, LLC ("Foreside"). Foreside is not affiliated with INFL or Horizon Kinetics LLC or its subsidiaries.

You should consider the investment objectives, risks, charges and expenses of the mutual funds carefully before investing. For a free copy of the mutual funds' prospectus, which contains this and other information, visit our website at [www.kineticsfunds.com](http://www.kineticsfunds.com) or call 1-800-930-3828. You should read the prospectus carefully before you invest.



## **Murray Stahl**

*Chairman, Chief Executive Officer, Chief Investment Officer*

Murray is Chief Executive Officer, Chairman of the Board of Horizon Kinetics and is a co-founder of the Firm. He has over thirty years of investing experience and is responsible for overseeing the Firm's proprietary research. Murray serves as the Firm's Chief Investment Officer, and chairs the Firm's Investment Committee, which is responsible for portfolio management decisions across the entire Firm. He is also the Co-Portfolio Manager for a number of registered investment companies, private funds, and institutional separate accounts. Additionally, Murray is the Chairman and Chief Executive Officer of FRMO Corp. He is a member of the Board of Directors of the Minneapolis Grain Exchange, the Bermuda Stock Exchange, and Texas Pacific Land Corporation. Prior to co-founding the Firm, Murray spent 16 years at Bankers Trust Company (1978-1994) as a senior portfolio manager and research analyst. As a senior fund manager, he was responsible for investing the Utility Mutual Fund, along with three of the bank's Common Trust Funds: The Special Opportunity Fund, The Utility Fund, and The Tangible Assets Fund. He was also a member of the Equity Strategy Group and the Investment Strategy Group, which established asset allocation guidelines for the Private Bank. Murray received a Bachelor of Arts in 1976, a Masters of Arts in 1980 from Brooklyn College, and an MBA from Pace University in 1985.

## **Peter Doyle**

*Managing Director, President of Kinetics Mutual Funds, Inc.*

Peter is a Managing Director and co-founder of the Firm. He is a senior member of the research team, and a member of the Investment Committee and the Board. Peter is a Co-Portfolio Manager for several registered investment companies, private funds, and institutional separate accounts. He is also responsible for oversight of the Firm's marketing and sales activities and is the Vice President of FRMO Corp. Previously, Peter was with Bankers Trust Company (1985-1994) as a Senior Investment Officer, where he also served on the Finance, Utility and REIT Research sub-group teams. Peter received a BS from St. John's University and an MBA from Fordham University.

## **Steven Bregman**

*President*

Steven is the President of Horizon Kinetics and is a co-founder of the Firm. He is a senior member of the Firm's research team, a member of the Investment Committee and Board, and supervises all research reports produced by the Firm. As one of the largest independent research firms, Horizon Kinetics focuses on structurally inefficient market sectors, including domestic spin-offs, global spin-offs (The Spin-Off Report and Global Spin-Off Report), distressed debt (Contrarian Fixed Income) and short sale candidates (Devil's Advocate), among others. Horizon Kinetics has also taken an interest in creating functionally improved indexes, such as the Spin-Off Indexes and the Wealth Indexes (which incorporate the owner-operator return variable). Steve is also the President and CFO of FRMO Corp., a publicly traded company with interests in Horizon Kinetics and is a member of the Board of Directors of Winland Electronics, Inc. He received a BA from Hunter College, and his CFA® Charter in 1989. Steve has authored a variety of papers, notably "Spin-offs Revisited: A Review of a Structural Pricing Anomaly" (1996) and "Equity Strategies and Inflation" (2012).

## **James Davolos**

*Portfolio Manager*

James joined the Firm in 2005 and currently serves as Co-Portfolio Manager for the Inflation Beneficiaries ETF (INFL), the Internet Fund as well as several private funds and institutional separate accounts. He began his investment career with the Firm in 2005, as a member of the trading desk and joined the investment team in December 2006. James began his tenure on the investment team as a generalist analyst covering investment and research opportunities for various strategies managed by the Firm. James received a BBA in Finance from Loyola University in Maryland, and an MBA from New York University.

## **Alun Williams**

*Chief Operating Officer*

Alun joined the Firm in 2009 and, after 12 years as the firm's Director of Trading and Operations, took over the role of Chief Operating Officer in 2021. As Chief Operating Officer, Alun is responsible for overseeing daily operations and administrative functions for Horizon Kinetics. Prior to 2009, Alun was at Goldman Sachs where he was the head of GSAM Operations Salt Lake City. Alun joined Goldman Sachs in 1996 and in his time there held a number of operational and control positions within the equity, private wealth and asset management divisions. Alun received a BSc in Business Administration from Bath University, England.

## **Andy Parker**

*Managing Director*

Andy joined the Firm in 2019 and is responsible for product development, cultivating private client relationships, and assisting in the implementation of the Firm's investment views. He has worked as an investment professional for over 30 years. Prior to joining the Firm, among other roles, Andy served as Chief Portfolio Strategist at Lazard Wealth Management, Director of Quantitative Strategies at Bessemer Trust Company and as Portfolio Manager/Director-Securitized Products for Credit Suisse Asset Management. Earlier in his career Andy worked for Morgan Stanley, Drexel Burnham Lambert and Salomon Brothers. He currently serves as a Member of the Board of Trustees of his alma mater, Gettysburg College. He is also a Chartered Alternative Investment Analyst (CAIA) and holds the Series 7 and 65 securities licenses.

## **Alan Swimmer**

*Managing Director*

Alan joined the Firm in 2018 and is responsible for conducting research for the Firm with a focus on exchange related investment opportunities. Previously, he was a Managing Director at Environmental Financial Products, a Derivatives Exchange Incubator, and immediately prior to that, he was President of Prescient Ridge Management, a Commodity Trading Advisor. Alan has spent over 28 years in various senior roles in institutional futures and options businesses including as Head of North American Sales at JP Morgan, Head Of Futures at Bear Stearns, and Manager of the Chicago Institutional Futures Business for Citibank. He has held Board of Directors positions at RMG Networks and with The Minneapolis Grain Exchange. He is currently the Executive Vice Chair of the Alumni Board of Governors, and a Trustee of, Washington University in St. Louis, where he received a B.A. in Psychology.

## **Jay Kesslen**

*General Counsel, Managing Director*

Jay joined the Firm in 1999 and currently serves as General Counsel, Managing Director, and is a member of the Board. He oversees all aspects of the Firm's legal affairs, advises on all material compliance matters, and is responsible for the Firm's corporate governance. Jay is the Firm's Anti-Money Laundering Officer and also serves as a Director for several private funds managed by subsidiaries of the Firm. He is also Vice President and Assistant Secretary for Kinetics Mutual Funds, Inc., a series of U.S. mutual funds managed by Kinetics Asset Management LLC, a subsidiary of the Firm. Jay also serves as the General Counsel of FRMO Corp., a publicly traded company. Jay holds a BA in Economics from the State University of New York at Plattsburgh (cum laude) and a JD from Albany Law School.

## **Russell Grimaldi**

*Chief Compliance Officer, Associate General Counsel*

Russ joined the Firm in 2005 and currently serves as the Chief Compliance Officer and Associate General Counsel. He oversees the Firm's compliance program and supports all legal and regulatory functions. Russ has substantial experience with the rules and regulations governing the investment management industry and is a frequent speaker at various industry events. He is also a member of several of the Firm's operating committees and is the Anti-Money Laundering Compliance Officer for the Firm's offshore private funds. Russ holds a BA in Legal Studies from Quinnipiac University (cum laude) and a JD from Albany Law School.

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# Important Risk Disclosures



**Please consider carefully a fund's investment objectives, risks, charges and expenses. For this and other important information, obtain a statutory and summary prospectus by contacting 646-495-7333. Read it carefully before investing.**

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The Fund is non-diversified, meaning it may concentrate its assets in fewer individual holdings than a diversified fund. Therefore, the Fund is more exposed to individual stock volatility than a diversified fund. The Fund invests in foreign securities which involve greater volatility and political, economic and currency risks and differences in accounting methods. These risks are greater for investments in emerging markets. The S&P 500 Index is a broad based index intended to show the performance of the 500 largest companies listed on stock exchanges in the United States.

The Fund may invest in the securities of smaller and mid-capitalization companies, which may be more volatile than funds that invest in larger, more established companies. The fund is actively managed and may be affected by the investment adviser's security selections. Diversification does not assure a profit or protect against a loss in a declining market.

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